Social Protection Fund

صندوق الحماية الاجتماعية

STUDY VISIT · KWAP AND EMPLOYEES PROVIDENT FUND (EPF) MALAYSIA

# Malaysia Study Visit

## Report

Findings, observations and recommendations for SPF from the KWAP visit and the EPF strategy, communications, operations, physical and digital channel, digital transformation and investment sessions, including the branch visit

Kuala Lumpur, 26 to 28 October 2026


PREPARED BY

**The SPF Study Visit Delegation**

Social Protection Fund, Sultanate of Oman



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# Contents

**Contents** ..... 2
**Overview** ..... 5
**Executive Summary** ..... 5
**1. Visit at a Glance** ..... 7
Institutions visited ..... 7
Programme ..... 7
Delegation and hosts ..... 7
Sources and method ..... 8
**2. KWAP: Mandate and Structure** ..... 9
**3. Contributions, Data and Integration** ..... 9
**4. Customer Experience** ..... 10
**5. Information Technology and Digital Services** ..... 10
**6. Member Engagement, Communications and Social Responsibility** ..... 11
**7. KWAP: Observations and Questions Carried Forward** ..... 12
What stood out ..... 12
**8. EPF at a Glance** ..... 13
**9. EPF in Malaysia's Social Protection System** ..... 14
**10. Contributions** ..... 14
Statutory rates ..... 14
Registration, verification and the monthly cycle ..... 14
Voluntary schemes ..... 15
**11. Account Structure and Withdrawals** ..... 16
Below age 55 ..... 16
Age 55 and above ..... 16
Other withdrawals ..... 16
Foreign workers ..... 16
Deaths and nominations ..... 17
**12. Governance** ..... 17
The policy and strategy function ..... 18
**13. Challenges** ..... 18
Ageing ..... 18
Coverage ..... 18
Adequacy ..... 18
Pension receipt ..... 19
**14. Strategy and Reforms** ..... 19
ACE-YT scorecard ..... 19
Strategic pivots ..... 19
Retirement Income Adequacy (RIA) framework ..... 19
Reform status ..... 19

Long-term aspiration ..... 20

**15. Operations and the Service Delivery Model ..... 20**

Products and services ..... 20
Core operation module ..... 20
Touchpoints ..... 21
Physical channel ..... 21
Five business lines ..... 21
System integration behind the operation ..... 22
Digital touchpoints for members and employers ..... 22
Employer compliance (August 2026) ..... 22

**16. Digital Channels and Contact Centre ..... 23**

Organisation ..... 23
Key statistics ..... 24
Touchpoints and the WhatsApp journey ..... 24
Customer satisfaction and trust ..... 24
Complaints and suggestions ..... 25
Digital literacy and inclusion ..... 25
Roadmap and the 2030 vision ..... 25

**17. Branch Visit, 28 October 2026 ..... 25**

**18. Digital Transformation: THRIVE ..... 26**

Outcomes by 2030 ..... 26
Platform roadmap ..... 27

**19. People, Incentives and Service Quality ..... 27**

The results ..... 27
What sits behind them ..... 27

**20. Corporate Communications ..... 28**

**21. The Investment Division ..... 29**

Investment objectives ..... 29

**22. Strategic Asset Allocation (SAA) ..... 29**

Considerations ..... 29
Evolution of the SAA ..... 30

**23. Operationalising and Reporting the SAA ..... 30**

Three recurring disciplines ..... 30
Reporting cascade ..... 30

**24. Current Portfolio (June 2026) ..... 31**

Total fund: RM1,538 billion ..... 31
Simpanan Konvensional and Simpanan Shariah ..... 31

**25. Returns, Dividends and Crediting ..... 31**

Annual dividends against benchmarks ..... 31
Compounded annual dividend rate ..... 32
How the dividend is declared ..... 32
The 2.5% minimum guarantee ..... 32
Crediting mechanics ..... 32

**26. Liabilities and Liquidity ..... 33**

**27. Comparative View: KWAP, EPF and SPF ..... 34**

**28. Takeaways for SPF ..... 36**

Provident Scheme design, crediting and investment ..... 36

Customer service, channels and people ..... 37

**29. Recommendations ..... 38**

**Annex. Glossary of Terms and Abbreviations ..... 42**

**Annex. Host Contacts ..... 43**

## Overview

This report records the Social Protection Fund (SPF) delegation's three-day study visit to Malaysia on 26, 27 and 28 October 2026. Day 1 was spent at Kumpulan Wang Persaraan (Diperbadankan), KWAP, the pension fund for pensionable civil servants. Days 2 and 3 were spent at the Employees Provident Fund (EPF, KWSP), Malaysia's defined contribution retirement fund, and included a visit to an EPF service branch.

The EPF part of the report builds on the delegation's two-day summary of the EPF sessions, whose checked wording and figures are retained. It has been extended with the slides photographed during the sessions, the delegation notes, the session summary prepared as a mind map, and the new sessions held on 28 October on digital channels, digital transformation and the branch visit. The KWAP part is based on delegation notes only, because no KWAP slides were available at the time of writing; it is marked accordingly.

The delegation prepared a structured set of discussion questions before travelling, and both hosts organised parts of their presentations around them. This report is the product of the answers received, the presentations delivered and the discussions held during the visit.

The visit focused on areas relevant to the SPF Provident (Savings) Scheme and to SPF's customer service agenda: how returns are credited, the minimum guaranteed return, decumulation, account design, employer compliance, investment governance, the branch and digital channel model, service quality measurement and the people practices behind it. Part A describes the visit, Part B covers KWAP, Part C covers EPF, and Part D sets out the comparative view, the takeaways, the recommendations and the follow-up plan.

## Executive Summary

Malaysia operates a layered old-age system in which EPF covers private-sector and non-pensionable public employees under a defined contribution model, KWAP pays defined benefit pensions to pensionable civil servants, and PERKESO covers the other ILO Convention 102 branches. EPF had 18.7 million members and 11.2 million active members in September 2026, assets of RM1,538 billion in June 2026, and paid a 6.15% dividend for 2025 against a statutory floor of 2.5%.

Eight findings matter most for SPF:

- **Crediting and guarantee design.** EPF declares its dividend on realised income only, credits on a modified daily balance, and backs a 2.5% floor through its asset allocation rather than a dedicated reserve. SPF should size a reserve for its own self-funded guarantee.
- **Account architecture and decumulation.** The three-account structure (75/15/10) relieves pressure for early withdrawals while protecting retirement savings. Structured drawdown and lifetime income products are in design because lump sums are exhausted quickly.
- **A deliberate channel model.** EPF keeps 70 branches, 596 self-service terminals, 14 mobile units and advisory teams while moving routine work to digital and self-service: counter visits are 30% below 2019, terminals carry 1.6 times the counter volume, and about 90% of transactions complete digitally. Branches are being converted to an advisory-led concept by 2028.
- **Service quality is measured relentlessly and the results are high.** Customer satisfaction on the i-Akaun app reached 97.73% in 2025, trust in the contact centre 85% (IPSOS), and the delegation was told that overall satisfaction stands at 99.8% with mystery shopper scores of 98.2% in branches and 95.2% in the call centre.
- **People are the main driver.** In discussion, EPF managers attributed these results first to their employee proposition: remuneration and benefits that differ from the general civil service, a modern work environment, performance-linked incentives and rewards, and sustained investment in training and

digital capability. More than 56% of EPF staff work in the physical channel, and talent is one of the six pillars of the THRIVE digital transformation programme.

- **A dedicated policy function designs every programme end to end.** EPF's Policy and Strategy Department, about 70 staff, writes the philosophy, eligibility conditions and controls of every savings or protection initiative from inception to approval, and only then hands it to the operational partners for delivery. This separation of design from delivery is one reason EPF reforms arrive coherent and well sequenced.
- **Community investment and partnerships are part of the service model.** Both KWAP and EPF place strong emphasis on social responsibility, incentives and community participation, funded in part from penalties and other non-investment income, and both credited these programmes with a visible effect on beneficiary satisfaction and trust. EPF also works through foreign embassies, briefing embassy officers so that they can inform their own nationals of their rights and obligations.
- **Digital first, but never digital only.** Digital literacy is a core objective at EPF, yet members are still served free of charge in person, assisted at self-service terminals by Digital Ambassadors, and reached through mobile units and field outreach in districts without a branch. Field presence is treated as a foundation of the member relationship, not a legacy cost.

The final recommendation of this report is that SPF sizes and funds a dedicated reserve for the guarantee in the Provident Scheme, intensifies and scales its existing self-service corners, field services and digital channels on the EPF model with artificial intelligence at the centre, strengthens the policy and strategy function so that every programme is designed end to end before delivery, treats the front-line employee proposition (pay, benefits, incentives, recognition and work environment) as a formal workstream of the customer-centricity strategy, and pursues a memorandum of understanding with EPF to sustain the exchange. Sections 28 to 30 set out the owners, priorities and timelines.

PART A

# The Visit

Institutions, programme, delegation and the sources used in this report.

## 1. Visit at a Glance

| 3 | 2 | 8 | 9 |
|---|---|---|---|
| days, 26 to 28 Oct 2026 | institutions: KWAP and EPF | sessions and one branch visit | SPF delegation members |

### Institutions visited

| Institution | Role in the Malaysian system | Relevance to SPF |
|---|---|---|
| KWAP (Kumpulan Wang Persaraan) | Statutory body under the Ministry of Finance that manages the pension fund and pays defined benefit pensions to pensionable civil servants (about 1.7 million members). | Comparable to SPF's defined benefit pension operations: pensioner services, derivative (survivor) recipients, data integration with ministries, CRM and member engagement. |
| EPF (Employees Provident Fund, KWSP) | Defined contribution retirement fund established in 1951 and governed by the EPF Act 1991; mandatory for private-sector and non-pensionable public employees and, since October 2025, non-citizens. | Direct reference model for the SPF Provident (Savings) Scheme and for SPF's branch, contact centre and digital channel strategy. |

### Programme

| Day | Date | Host | Sessions |
|---|---|---|---|
| Day 1 | Monday 26 October 2026 | KWAP, Kuala Lumpur | Opening and institutional structure (Ministry of Finance oversight); contributions and data integration; customer experience and derivative recipients; information technology and digital services; member engagement and corporate social responsibility. |
| Day 2 | Tuesday 27 October 2026 | EPF, Kuala Lumpur | Malaysian retirement landscape and EPF strategy (Policy and Strategy Department); corporate communications; operations, products and employer compliance; physical channel. |
| Day 3 | Wednesday 28 October 2026 | EPF, Kuala Lumpur | Visit to an EPF service branch; digital channel and engagement; digital transformation (THRIVE programme); investment (Total Fund Management and Attribution, Investment Strategy and Analytics Department). |

*The order of sessions within each day is given as recorded in the delegation notes and the slide time stamps; it should be checked against the final agenda received from the hosts.*

### Delegation and hosts

| Name | Job title |
|---|---|
| Hashem Al Hashemi | General Manager of Customer Services (head of delegation) |

| Name | Job title |
|---|---|
| Yousuf Al Harrasi | Manager, Supplementary and Savings Systems Department |
| Iman Al Hadrami | Head of Saving and Supplementary Scheme Section |
| Salwa Al Saadi | Savings and Supplementary Schemes Specialist |
| Abdullah Albusaidi | Contribution Data Specialist |
| Nada AL Kindi | Digital Communication Specialist |
| Aisha AL Nasseri | Business and Digital Accessibility Analyst |
| Iman Al Busaidi | Statistics Specialist |
| Sheikha AlMayahi | Development and Design Programmer |

*Speakers recorded in the delegation notes at KWAP are Firza (contributions), Shakir (customer experience) and Nazmi (information technology). Host speaker lists for both institutions will be attached when the requested materials are received.*

## Sources and method

- **EPF slides presented during the sessions:** the strategy deck (Malaysian Retirement Landscape, Policy and Strategy Department, 27 October 2026), the operations and products deck (September 2026), the Physical Channel deck, the Digital Channel and Engagement deck (28 October 2026), the Digital Transformation (THRIVE) slides and the investment deck. Duplicate photographs across batches were identified and removed before the figures were extracted.
- **EPF two-day summary** prepared by the delegation from the slides and session recordings.
- **Delegation notes** covering all three days, including the branch visit and the digital channel and digital transformation sessions for which few slides were photographed.
- **Session mind map** (EPF Operations, Member Services and Retirement Savings), a structured summary of the operations discussion.
- **Delegation discussion questions.** The delegation prepared a structured set of discussion questions before travelling, covering customer relations, savings scheme design, pensions, enforcement, investment, data, digital channels, outreach, satisfaction, readiness, accessibility, artificial intelligence and governance. Both hosts organised parts of their presentations around these questions, and this report is the product of the answers received, the presentations and the discussions that followed.
- **Thematic reviews prepared by the delegation** after the visit (30 October 2026) on compliance and collection, systems and integration, benefit administration and the comparison with Oman's Savings System, merged into this edition.

PART B

# KWAP, 26 October 2026

Kumpulan Wang Persaraan (Diperbadankan), the Retirement Fund (Incorporated). This part is based on the delegation notes and thematic reviews and on KWAP's published material. Digital copies of KWAP's presentations have been requested and will be used to refine the figures when received.

## 2. KWAP: Mandate and Structure

KWAP was established on 1 March 2007 under the Retirement Fund Act 2007 (Act 662), replacing the Pensions Trust Fund Act 1991. It is a statutory body under the Ministry of Finance with two mandates: to manage and invest the Retirement Fund that helps the Federal Government meet its pension obligations, and, since 2015, to administer and pay pensions, gratuities and other benefits to Federal Government retirees, a role it took over from the Public Service Department (JPA). The Pension Services Department is located in Cyberjaya.

The opening session covered the Ministry of Finance's oversight role and KWAP's organisational structure (delegation notes). By the end of 2023 KWAP served 790,772 pension recipients, of whom 73% were pensioners and 27% derivative (survivor) recipients, and the fund stood at RM169.8 billion. The EPF strategy slides put the number of pensionable civil servants covered by KWAP at about 1.7 million.

| 2007 | 2015 | ~1.7M | 27% |
|---|---|---|---|
| established, Act 662 | took over pension payments | pensionable civil servants (EPF slide) | of recipients are derivative recipients (2023) |

*Public figures: KWAP corporate overview and media releases, kwap.gov.my (https://www.kwap.gov.my/corporate/overview/; https://www.kwap.gov.my/media-centre/kwap-fund-size-grew-to-rm169-8-billion-an-increase-of-rm11-7-billion-in-2023/). Membership figure: EPF strategy deck, coverage slide, June 2026.*

## 3. Contributions, Data and Integration

The second speaker, Firza, presented the contribution function (delegation notes). The points recorded were:

- KWAP runs a **dedicated contribution system** for the employers that remit pension contributions: statutory bodies, local authorities and agencies.
- **A specialised contributions unit of about 40 staff** is organised in three areas: contribution operations, employer relations, and contribution performance. Employer relations is a standing function, not an occasional campaign.
- **Registration and payment.** Covered employers register pensionable employees using the Member Registration Form and report monthly contributions using the Contribution Form. The published employer rate is 17.5% of the pensionable employee's basic salary, payable by the end of the following month. The contribution portal records the submission; payment itself is made through the banking system, not inside the portal. An employer contribution to KWAP finances a defined-benefit pension and is not credited to an individual account, which is the main difference from EPF.
- **Data accuracy** is managed through a combination of employer self-reporting on standard forms, reconciliation against the government human resource system (HRMIS), compliance visits to employers, and a programme to review and verify the data of all registered employers. KWAP is also modernising its core system to support this work.
- KWAP follows an **integration strategy with ministries and agencies**, so that service, salary and retirement data flow between government systems rather than being re-keyed.

- Three named initiatives were mentioned: **JATI**, the **SUK roundtable series** (engagement with State Secretary offices, Setiausaha Kerajaan Negeri) and **Project iCOMS**. They were described to the delegation as the data quality, employer engagement and contribution management workstreams of the modernisation programme; their detailed scope will be taken from the requested slides.

*Delegation notes and thematic reviews; KWAP contribution pages (kwap.gov.my). The JATI, SUK roundtable and iCOMS descriptions are the delegation's understanding of the acronyms.*

## 4. Customer Experience

Shakir presented KWAP's customer experience work (delegation notes). The discussion concentrated on three themes:

- **Derivative recipients.** Pensions paid to the survivors of deceased pensioners form a significant share of KWAP's customer base (27% of recipients at the end of 2023). Serving this group requires different verification, communication and life-event processes from those used for pensioners themselves.
- **Cost of pensions.** The delegation discussed the cost of pension payments and how KWAP tracks it.
- **Renewal of entitlement.** The delegation asked what happens when a pensioner or derivative recipient fails to complete the periodic renewal or life-certification step. The answer was not captured in full. KWAP's published material shows that life events of resident pensioners are verified through integration with the National Registration Department (JPN), while pensioners residing outside Malaysia file a periodic declaration form; the delegation's understanding is that payment is held pending confirmation rather than terminated. SPF should treat this as a design point to settle in its own rules rather than as a confirmed KWAP procedure.

KWAP's published material describes a retirement companion approach: pensioner cards and guarantee letters, bank account changes, medical and travel claims, and payment statements, with appointments booked through the MyPesara app so that an officer can decide in advance whether a physical visit is needed or the matter can be resolved virtually.

*KWAP Pensioners E-Book (https://www.kwap.gov.my/documents/pension_services/Pensioners-E-Book.pdf).*

## 5. Information Technology and Digital Services

Nazmi presented the technology landscape (delegation notes). The components recorded were:

| Component | What was recorded | Comparable SPF capability |
|---|---|---|
| CRM with Tableau | Customer relationship management system with Tableau dashboards for service and performance analytics. | SPF CRM and management dashboards |
| MyPesara mobile app | Pensioner app (pesara means pensioner): personal and service data, monthly pension payment information, appointments, announcements, retirement calculator, health and financial tips. Downloaded more than 307,000 times by 2024. | SPF mobile app and pensioner self-service |
| KIAH chatbot | "KWAP Is Always Here", KWAP's first AI chatbot for general information on pensions, benefits and programmes; bilingual; available on the website and MyPesara from January 2026. | SPF smart contact centre and knowledge base |
| SMS gateway | Bulk and transactional SMS notifications to pensioners. | SPF SMS notifications |
| Call centre | The delegation asked whether KWAP operates a contact centre; KWAP publishes a dedicated call centre line (+603 8887 8777) and the mypesara@kwap.gov.my mailbox. | SPF contact centre |

| Component | What was recorded | Comparable SPF capability |
|---|---|---|
| Ecosystem and MyGovNet PCN | MyGov*Net is the Malaysian Government Integrated Telecommunications Network, managed centrally by the National Digital Department; PCN (Putrajaya Campus Network) is its secure campus network for agencies located in Putrajaya and Cyberjaya, where KWAP's pension services are based. KWAP uses it for secure connectivity to government applications and agencies. | Oman Government Network and the national integration platform |
| Core system: Power Gen 2 (PG2) | A centralised pension core system with specialised modules: SPPP (pension registration and processing), PYL (pension adjustments), SPT (derivative pension management), UBAT (medical claims), SKAP (accounts and financial management) and SKP (control, compliance and enforcement). | SPF core pension and benefits system |
| External integration | Links to JPA (HRMIS) for service and salary data, banks for payments, and other agencies including KWSP (EPF), JPN (national registration), LPPSA (housing loans), JAN (accountant general), and the PPUM and PPUKM university hospitals. Data is exchanged through ETL pipelines and Managed File Transfer (MFT). | SPF integrations with ROP civil registry, MoL, MoF and banks |
| Specialised portals and users | An eHemodialysis portal supports dialysis claims; external users of KWAP systems therefore include dialysis centres and hospitals as well as pension recipients, and internal users include JPA pension division staff. | SPF medical and third-party portals |

*Delegation notes and technical review; KWAP MyPesara pages (https://mypesara.kwap.gov.my/en/); media release on KIAH (https://www.kwap.gov.my/media-centre/inspiring-retirees-honoured-at-kwaps-anugerah-mypesara-2025/); National Digital Department FAQ on MyGov*Net (https://www.jdn.gov.my/en/frequently-asked-questions/).*

## 6. Member Engagement, Communications and Social Responsibility

The final KWAP session covered member engagement (delegation notes). The offers and benefits programme is curated by KWAP itself with partners, while the statutory pension benefits remain a government obligation that KWAP administers. The points recorded were:

- **Offers and benefits for pensioners.** KWAP curates offers and privileges for pensioners from institutions, associations, partners and the community.
- **A dedicated festival.** KWAP organises an annual event, the Anugerah MyPesara carnival, at which partners present benefits and services, inspiring retirees are honoured and new services (such as KIAH) are launched.
- **Crisis communications.** KWAP retains a media consultancy agency to support crisis management.
- **Corporate social responsibility.** The delegation described CSR as very high: activities, carnivals and exhibitions; mental health programmes; community inclusion; appreciation and recognition of pensioners; morale building; and expressions of thanks.
- **How it is funded and why it matters.** Both KWAP and EPF place strong emphasis on social responsibility, incentives and community participation, and both draw on penalties, late payment charges and other income that is not planned investment return to finance part of these programmes. The hosts linked this directly to beneficiary satisfaction: community presence, recognition and visible care generate trust that no digital channel can produce on its own. Section 20 records the EPF equivalent and Section 29 draws the recommendation.

- **Retirement preparedness.** Under the MyPesara initiatives KWAP reaches current and future pensioners and derivative recipients with programmes on financial planning, healthcare in retirement and healthy lifestyles, and uses the app and social media to warn about scams.

*Delegation notes; KWAP media releases (https://www.kwap.gov.my/media-centre/kwap-heightens-retirement-preparedness-programmes-under-mypesara-initiatives/).*

## 7. KWAP: Observations and Questions Carried Forward

### What stood out

- KWAP treats the pensioner relationship as a lifelong companion relationship, not a payment process: appointments triaged through the app, a festival and awards for retirees, mental health and community programmes, and a strong recognition culture. This is directly relevant to how SPF serves Omani pensioners and their survivors.
- The derivative recipient segment is large (about a quarter of recipients) and is managed as a distinct customer group.
- Data integration with ministries (JATI, SUK roundtables, iCOMS, MyGovNet) is the backbone of accuracy in a pay-as-you-go pension operation, and KWAP invests in it deliberately.
- A contributions unit of about 40 staff with a dedicated employer relations area, compliance visits and a full data review programme shows that data quality is treated as an organisational responsibility with named owners, not as a system feature.
- The technology stack (CRM with analytics, app, chatbot, SMS gateway, call centre) is similar in shape to SPF's; the differences lie in integration depth and in the pensioner-facing content.
- The core system is modular (registration, adjustments, derivative pensions, medical claims, finance, compliance) and is fed by ETL and managed file transfer from HRMIS, banks and agencies; the lesson for SPF is less the product than the discipline of one master record and controlled interfaces.

PART C

# EPF, 27 and 28 October 2026

Employees Provident Fund (Kumpulan Wang Simpanan Pekerja, KWSP). Sections 8 to 14 cover the scheme and its strategy, Sections 15 to 20 cover operations, channels, people and communications, and Sections 21 to 26 cover investment.

## 8. EPF at a Glance

| 18.7M | 11.2M | 647K | RM1,538bn | 6.15% |
|---|---|---|---|---|
| members, Sep 2026 | active members | active employers | assets, Jun 2026 | dividend 2025 |

- Established in **1951**, governed by the **EPF Act 1991**. A defined contribution (DC) scheme with a mandate for retirement security. EPF marks about 75 years since its founding (delegation notes). The mandate slide frames the member life cycle as 30 to 40 years of accumulation followed by 15 to 25 years of decumulation: member contribution plus employer contribution plus dividend minus withdrawals equals retirement savings.
- **Mandatory** for private-sector employees, non-pensionable public-sector staff and, since October 2025, non-citizen employees.
- **Voluntary** for informal workers, people outside the labour force (including housewives) and pensionable civil servants.
- **Members:** 18.7 million in total in September 2026, up 13.0% from 16.5 million a year earlier, of whom 11.2 million are active (up 23.8% from 9.1 million) and 7.5 million inactive. Generation Y and Z make up more than 65% of membership. The growth reflects the inclusion of non-citizen workers from October 2025.
- The adequacy analysis uses a narrower base of **14.9 million members**, of whom **8.0 million are active formal members** (at least one contribution in the last 12 months). Both sets of figures appear on EPF slides. The adequacy base predates the inclusion of non-citizen workers and excludes members with no recent formal contribution, which is why it is smaller than the headline membership; EPF's published year-end figure was 18.09 million members at the end of 2025, consistent with the 18.7 million headline.
- **Employers:** 710,229 registered and 645,217 active in August 2026; 647,000 active in September 2026 (up 2.9%).
- **Assets:** RM1,538 billion (June 2026), invested in more than 40 countries and 29 currencies.
- **Shariah option:** members choose Simpanan Konvensional or Simpanan Shariah. A Shariah Advisory Committee oversees the Shariah fund and its investment screens.
- **Civil servants** start in EPF. Once confirmed, they choose between staying in EPF and moving to the defined benefit (DB) pension, which pays about 60% of last salary. The government plans to put new hires into EPF only, but no date has been set.
- **Service footprint:** 70 branches, 6 regional offices, 14 Mobile KWSP units, more than 550 self-service terminals (596 on the latest slide), about 260 relationship advisory officers and 70 outreach teams present at more than 140 locations; 14.0 million members use i-Akaun. More than 5,000 staff (delegation notes), of whom 3,241 work in the physical channel.

## 9. EPF in Malaysia's Social Protection System

EPF covers only the **old-age branch** of the nine branches in ILO Convention 102, with a minimum replacement objective of 40%. Other institutions cover the rest:

| Institution | Coverage |
|---|---|
| PERKESO (SOCSO) | Employment injury, invalidity, survivors (including informal workers and housewives), unemployment (private sector), sickness and maternity |
| KWAP | Pensionable civil servants (defined benefit) |
| LTAT | Armed forces |
| PRS and SPPA | Private retirement schemes (Tier 3) and the private pension administrator |
| Ministry of Health | Universal medical care |
| BWE | Assistance for poor elderly people: RM600 per month |
| STR | Cash assistance for B40 (bottom 40% income) and hardcore poor households: RM150 per quarter |

**The "missing middle":** Malaysia has no Tier 1 pension. People who are not poor enough for social assistance but have no formal pension fall through the gap. The strategy deck's matrix of ILO branches by population group shows social assistance for children and the elderly, contributory social insurance for working-age adults, and income security interventions only; it is a useful template for mapping Oman's own system.

## 10. Contributions

### Statutory rates

| Group | Employee | Employer |
|---|---|---|
| Malaysians under 60 | 11% | 13% if wage ≤ RM5,000; 12% if above |
| Malaysians 60+ | 0% | 4% |
| Permanent residents 60+ | 5.5% | 6.5% if wage ≤ RM5,000; 6% if above |
| Non-citizens (all ages) | 2% | 2% |

- Before October 2025, non-citizen membership was voluntary: 11% employee and a flat RM5 employer contribution.
- Contributions can continue up to **age 75**. They are due by the **15th of the following month**.
- **No wage ceiling for Malaysian employees:** contributions are calculated on the full monthly wage. Above RM5,000 only the employer rate changes, from 13% to 12%; the employee rate stays at 11%.
- Employers submit monthly returns matching workers, wages and contributions; eligible wages and rates are governed by the EPF Act (session mind map).
- **Who is covered among non-citizens.** Mandatory coverage from October 2025 wages applies to non-Malaysian employees of registered employers with a valid passport and work authorisation, a contract of service or apprenticeship, cash wages and age below 75. Domestic workers are excluded from this extension. Permanent residents and members registered before 1 August 1998 follow different schedules, so the 2% rate is not applied indiscriminately to every non-citizen.

### Registration, verification and the monthly cycle

The delegation's review of the compliance cycle, from registration to the crediting of contributions, identified the elements that matter for the Omani Savings System:

- **Employer registration within seven days.** Under section 41(1) of the EPF Act an employer must register within seven days of first becoming liable, normally on employing the first worker, by filing Form KWSP 1 and receiving a reference number and certificate. Companies registered with the Companies Commission (SSM) can register electronically; other employer categories follow a documentary route.
- **Employee registration before the first contribution** through i-Akaun (Employer). Citizens and permanent residents are checked against the National Registration Department (NRD). Non-Malaysians need a valid passport and work authorisation and may have to attend in person so that fingerprints and facial identity can be captured. EPF deliberately does **not** make the issue of a work permit conditional on completing savings registration, so that a technical fault in one system never blocks the other.
- **Wage verification.** The obligation to contribute follows the contract of service and the payment of wages. Employer declarations and contribution statements are the periodic source; inspectors check that an employment relationship exists and that reported wages and employee data are accurate, and employees are asked periodically to confirm their registered salary in the mobile application.
- **Monthly submission and payment.** The employer prepares the monthly schedule (Form A) or uses e-Payroll to calculate liabilities and generate the submission, then pays through an approved channel (FPX, direct debit or bank). Receipt of money and crediting to individual accounts are separate steps.
- **Unmatched contributions (CTML).** Contributions that cannot be credited because of a missing or inconsistent name, identity number, member number or passport number are held as CTML cases. The e-CTML service lets employers find, correct and track these cases electronically, with separate preparer and approver roles; identity may be confirmed with documents or biometrics before re-crediting.
- **Follow-up practice.** The statutory deadline is the 15th; branches may begin operational follow-up after the 20th of the month. Withholding employee deductions without remitting them is a specific offence under section 48(3).

*Delegation thematic reviews; EPF employer pages (kwsp.gov.my).*

## Voluntary schemes

| Scheme | Who it is for | Government incentive |
|---|---|---|
| i-Topup | Anyone paying above the statutory rate | Tax relief, up to RM7,000 (about OMR 659) combined |
| i-Sayang | Husbands, including an eligible non-Malaysian husband, provided the wife is an eligible Malaysian member | None; redirects 2% of his share to his wife's account, which she owns outright and he cannot reclaim |
| i-Simpan | Members, topped up by family, government, approved third parties or platforms; Auto-i-Simpan allows recurring bank deductions | None |
| i-Saraan | Informal workers and the self-employed | 20%, up to RM500 a year (about OMR 47); RM5,000 lifetime (about OMR 471) |
| i-Saraan Plus (new) | Platform gig workers | Up to RM600 a year (about OMR 57); RM6,000 lifetime (about OMR 565) |
| i-Suri (enhanced) | Housewives in the eKasih low-income database | 50%, up to RM300 a year (about OMR 28); RM3,000 lifetime (about OMR 283) |

Total voluntary contributions are capped at **RM100,000 a year** (about OMR 9,419). The slide converts at 1 MYR = OMR 0.09. The delegation notes record "financial support of about 57" against the incentives; this corresponds to the OMR 57 annual cap of i-Saraan Plus, not to a 57% matching rate. In total there are five voluntary products (delegation notes).

**Government incentives are for Malaysian members only** below age 60, and each is capped: i-Saraan pays 20% of contributions up to RM500 a year and RM5,000 over a lifetime; i-Saraan Plus pays up to RM600 a year and

RM6,000 over a lifetime; i-Suri pays 50% up to RM300 a year and RM3,000 over a lifetime. A member can receive either i-Saraan or i-Saraan Plus in a year, not both.

**Take-up.** EPF reported 529,667 i-Saraan participants in 2024 and 487,375 in the first half of 2025, within about 1.2 million voluntary contributors overall; this report therefore uses "more than 500,000 i-Saraan participants a year" rather than the single figure recorded in the notes.

*EPF 2024 dividend announcement (https://www.kwsp.gov.my/en/w/epf-declares-630-dividend-for-simpanan-konvensional-and-630-for-simpanan-shariah-fn); The Sun, August 2025 (https://thesun.my/berita/tempatan/1-12-juta-ahli-kwsp-carum-sukarela-rm14-13-bilion-setakat-ogos-2025/).*

## 11. Account Structure and Withdrawals

### Below age 55

| Account | Share | Access |
|---|---|---|
| Akaun Persaraan | 75% | Locked until 55 (retirement, long term) |
| Akaun Sejahtera | 15% | Conditional: housing, education, health, protection, Hajj, age 50 |
| Akaun Fleksibel | 10% | Anytime (emergencies and short-term needs) |

- Part of Akaun Persaraan above the basic savings level can go into investment options.

### Age 55 and above

- **Age 55 to 59:** all balances merge into **Akaun 55**, which is accessible anytime. New contributions go to **Akaun Emas**, locked until 60.
- **Age 60+:** Akaun Emas absorbs Akaun 55 and becomes fully accessible.
- **Options at 55/60:** i-Emas monthly payments (an existing drawdown option), partial withdrawal, dividend-only withdrawal (retaining the principal), or full withdrawal.
- Withdrawals are not taxed.
- The delegation notes record age 50 as a general condition for partial or full withdrawal. The slides define age 50 as a conditional withdrawal from Akaun Sejahtera; the self-service terminals process "age 50 full withdrawal" of that account. The wording in the notes has been aligned to the slides.

### Other withdrawals

- **RM1M+ withdrawal:** members with savings above the threshold can withdraw the excess. The threshold rises to RM1.1M (2026, about OMR 103,609), RM1.2M (2027) and RM1.3M (2028).
- **Full withdrawal** is allowed on incapacitation, leaving the country, death, or moving to a pensionable job or optional retirement.
- Products also cover housing (buy, build, reduce or redeem a housing loan, monthly instalments), health, education, Hajj, incapacitation, leaving the country, and critical illness and life protection (delegation notes, consistent with the products slide).

### Foreign workers

- They can apply to withdraw up to 2 months before their permit ends. EPF verifies this through data-sharing with the Immigration Department.
- Transfer to a Malaysian bank account is the primary route. Workers already overseas apply by email with supporting documents and are paid by foreign telegraphic transfer (FTT) or, for specified currencies, foreign demand draft (FDD); conventional international transfers were said to take one to two months. The treatment of bank charges was recorded differently in the two sessions (borne by EPF on Day 3; falling

on the recipient according to Day 2), and intermediary charges in any case depend on the payment route. SPF should set and publish its own fee policy rather than rely on either reading.

- EPF also described **Nexus**, a project for instant cross-border payments being developed with the banking sector and the central bank; it is not yet an operational service.
- A departed worker's account continues to earn dividends. Accounts that remain dormant are managed through EPF's unclaimed monies process; the "three consecutive years" mentioned in discussion is understood as an operational trigger for follow-up rather than a general statutory rule.
- Operational challenges recorded in the session mind map: passport changes and name variations, employer changes and recruitment agents, mismatches between permits and workplaces, multilingual communication, and unclaimed savings and heirs' claims after workers leave Malaysia. Identity is verified through national registration and immigration data; duplicate accounts are resolved using employer data, fingerprints, facial recognition, fuzzy logic and manual review.

### Deaths and nominations

- EPF learns of a death only when the next of kin report it, so crediting continues until then, up to the member's age of 100 (whether this limit applies to the member's or the beneficiary's age was referred to EPF Operations and is still to be confirmed), after which the balance is treated as unclaimed.
- **Non-Muslim** members nominate beneficiaries, who receive the savings directly. **Muslim** members nominate a trustee, who distributes the savings under Islamic inheritance rules.
- **No nomination.** EPF's published death withdrawal guidance allows staged payments: where savings exceed RM25,000, an initial payment of up to RM25,000 can be made to the next of kin, with the balance released on a court order, letter of administration or equivalent; smaller balances follow different thresholds and timings, including a RM2,500 band. A nomination can lapse in defined cases (for example certain nominations by Muslim members made from 1 January 2017 where no claim is filed within a year), which is why EPF keeps a full versioned nomination history.
- **Death Assistance** is a discretionary payment separate from the deceased member's own savings, which matters for SPF because a savings death claim must stay distinct from any survivor pension payable under another branch.

*Delegation thematic review; EPF member pages on death withdrawal and nomination (kwsp.gov.my).*

## 12. Governance

- The **Ministry of Finance** appoints the EPF Board, the Investment Panel and the CEO.
    - **EPF Board (20):** Chairman, CEO, 5 government, 5 employer, 5 employee and 3 professional representatives. It oversees policy implementation (operations, not investment), identifies and manages key risks, and reviews internal controls.
    - **Investment Panel (7):** Chairman, CEO, 1 Ministry of Finance representative and professional members, established under **Section 26 of the EPF Act**. It sets strategic direction and approves investment guidelines, risk-control policies and asset allocation.
- Investment teams report to the **Management Investment Committee (MIC)**, which endorses proposals to the Investment Panel. Risk runs in parallel through the **Management Risk Committee** and the **Investment Panel Risk Committee**.
- A **Shariah Advisory Committee** ensures Simpanan Shariah's operations and investments comply with Shariah principles.
- Below the CEO are six divisions: Investment, Operations, Finance & Services, Strategy, Human Resources and Digital Technology. Risk Management, Internal Audit, and Integrity & Corporate Governance are independent.

- **Policy approval path:** management, then the Board, then the Minister of Finance.
- The funding and investment policies sit with the policy department. The actuaries reportedly sit on the investment side.

*Board and Panel composition is taken from the investment session slide and reflects the statutory maximum under the EPF Act. The strategy session slide shows the members currently serving: a Board of 13 (1 Ministry of Finance, 3 government, 2 employer, 3 professional, 2 employee, 2 EPF) and a Panel of 1 Ministry of Finance member and 3 professionals. The two slides are therefore consistent.*

### The policy and strategy function

Within the Strategy division sits a **Policy and Strategy Department of about 70 staff**. This is the unit that writes the philosophy of every savings or protection programme and every new initiative: it designs the project from inception to approval, including the eligibility conditions, the parameters and the controls, and takes it through the policy approval path described above. Only after the general policy is approved does it bring in the relevant internal partners (operations, digital technology, finance, investment, communications) to complete and deliver the project. The department is also home to the funding policy work and the retirement income adequacy framework described in Section 14.

Two features of this arrangement stand out for SPF. First, design is separated from delivery, so that the operational divisions receive a complete, approved policy rather than an idea to be worked out during implementation. Second, the function is large enough, at roughly 70 people, to carry research, actuarial and behavioural analysis, consultation and drafting at the same time, which is why EPF reforms such as the account restructuring, Akaun Fleksibel, i-Saraan Plus and the non-citizen coverage extension arrived coherent and well sequenced. Section 29 recommends strengthening the equivalent function at SPF.

## 13. Challenges

### Ageing

- Malaysia becomes an aged nation by 2048.
- People aged 65+ grow from 0.2M (1957) and 2.3M (2021) to 5.9M (2048) and 7.8M (2060).
- Fertility is 1.5 children per woman, down from 6.4 in 1950. Life expectancy is 75.5 years, up from about 54. Infant mortality is 6.7 per 1,000 live births (10.8 in 1960).

### Coverage

- Of the 24.4M working-age population, **12.7M (52%) are uncovered**.
- Within the 17.3M labour force, **5.6M (32%) are uncovered**: 5.1M uncovered workers and 0.5M unemployed. A further 7.1M are economically inactive. EPF covers 10.0M active formal members and KWAP 1.7M civil servants (DOSM and EPF internal data, June 2026).
- The gaps are concentrated in informal and unorganised work (delegation notes); the "about 5 million uncovered" recorded in the notes matches the 5.1M uncovered workers on the slide.

### Adequacy

- Basic savings (RM390K at age 60) is met by **40.7% of active formal members** (3.3M of 8.0M) but only **24.4% of all members** (3.6M of 14.9M). Achievement drops sharply after age 55: 42% at 18 to 30, 41% at 31 to 40, 44% at 41 to 50, 39% at 51 to 55 and 24% at 56 to 60 among active formal members.
- The investment team's analysis found that about a quarter of members who withdraw at 55 exhaust their savings within five years, and about 18% have exhausted them by 65 (approximate figures from the

recording, as recorded by the delegation). A fuller study is under way, and EPF is responding by improving drawdown options and encouraging monthly payments instead of a single lump sum.

### Pension receipt

- Only **29% of elderly Malaysians** receive a pension, because most members take lump sums. Oman shows about 46% on the same ILO chart (World Social Protection Report 2020 to 22).

## 14. Strategy and Reforms

### ACE-YT scorecard

| Measure | 2024 | 2025 | 2026 target |
|---|---|---|---|
| Adequacy | 37.4% | 41.3% | 44% |
| Coverage (active members aged 15 to 64 in labour force) | 50.2% | 59.0% | 60% |
| Experience (Net Promoter Score) | +52 | +25 | >+50 |
| Yield (3-year rolling real dividend) | 3.12% | 4.08% | >2% |
| Trust | 83% | 85% | >75% |

*The adequacy threshold changed from RM240K to RM390K for the 2026 target.*

### Strategic pivots

- From retirement savings to retirement **income** security, covering both accumulation and decumulation.
- From transactional to advisory, lifetime relationships with members.
- From dividends that meet expectations to further optimised dividends.
- From a conventional to an **agile workforce**.

**Refreshed purpose and mission (2025):** "We build a better retirement future for Malaysia" and "Helping members achieve a comfortable retirement income". Values: Progressive, Empathy, Teamwork, Integrity. The strategy house presented in the digital channel session rests on four pillars: Elevate Our People, Optimise Returns, Excel in Serving Members and Reform Pension.

### Retirement Income Adequacy (RIA) framework

| Tier | Savings at 60 | Year 1 income | Year 20 income |
|---|---|---|---|
| Basic (0.6 x adequate) | RM390K | about RM1,600/month | about RM4,400/month |
| Adequate | RM650K | about RM2,700/month | about RM7,400/month |
| Enhanced (2 x adequate) | RM1.3M | about RM5,400/month | about RM14,800/month |

- The adequate level is the Belanjawanku budget for a single senior in the Klang Valley x 12 months x 20 years.
- Income rises over time because remaining savings keep earning dividends. The framework is reviewed every 5 years.

### Reform status

**Implemented:**

- Non-citizen coverage.
- Akaun Fleksibel, with a higher share to Akaun Persaraan.
- i-Saraan and i-Suri enhancements.

- The RIA framework.
- **i-Legasi**: lets members aged 55+ with more than RM650K transfer the excess to a spouse or children. By September 2026: 157 transfers, 198 recipients, RM90.8M moved, median RM200K. 94% of recipients now meet basic savings, 89% adequate and 74% enhanced.
- Each i-Legasi transfer is preceded by an advisory interaction and a seven-day cooling-off period, and is irreversible once completed; the sums go into the recipient's protected retirement account.

**In development:**

- Coverage for new civil servants, contract-for-service and gig workers, the self-employed and business owners.
- **A structured drawdown product and a lifetime income product.**
- National pension reform.

### Long-term aspiration

| Tier | Plan |
|---|---|
| Tier 0+1 | A new contributory pension with government support, paying lifetime monthly income in old age |
| Tier 2 | EPF reform: wider coverage, account restructuring for saving and drawdown, aligning the full-withdrawal age with the minimum retirement age |
| Tier 3 | Broader private retirement products with flexible saving and drawdown options |

## 15. Operations and the Service Delivery Model

### Products and services

| Pillar | Main products |
|---|---|
| Onboarding | Registration, Shariah option, nomination |
| Savings | Mandatory and voluntary contributions (i-Simpan, i-Topup, i-Saraan, i-Suri), Persaraan top-up, Members Investment Scheme |
| Shelter | Buy or build a house, reduce or redeem a housing loan, monthly loan instalments |
| Well-being | i-Sayang, health, education, Hajj, RM1M+, incapacitation, leaving the country, Member Protection Plan (critical illness and life), Fleksibel withdrawal |
| Retirement | Age 50 withdrawal; age 55/60 withdrawal (i-Emas monthly, partial, dividend, full); i-Legasi; death; leaving the country |

### Core operation module

EPF organises its operations into six modules: (1) registration of employers and members, including the Shariah or conventional choice and nomination; (2) contribution, comprising receipting, crediting and maintenance (dividend, reinstatement, adjustment, refund); (3) withdrawal, grouped as shelter, well-being and retirement; (4) enforcement; (5) relationship and channel management; and (6) fraud management. The Operations Division is organised into Product Management and Marketing, Operations Compliance, Physical Channel, Digital Channel, Contribution Management and Transaction Management.

## Touchpoints

| Channel group | Touchpoints (September 2026) |
|---|---|
| Physical | 70 branches with e-Services and Info Island; 6 regional offices; Relationship Advisory Teams (318 officers on the operations slide, 261 RA/RE officers on the strategy slide); 14 Mobile KWSP trucks; self-service terminals (596); 70 outreach teams at more than 140 locations |
| Digital | Contact centre (03-8922 6000 and 4848); email; chatbot; WhatsApp; i-Akaun web and the KWSP i-Akaun app for members; i-Akaun and e-Caruman for employers |
| Social media | Facebook 1.2M followers, LinkedIn 342.5K, Instagram 68.7K, X 68.1K, YouTube 16.3K |

## Physical channel

| 3,241 | -30% | 1.6x | 36.1K | 29 of 70 |
|---|---|---|---|---|
| staff, over 56% of EPF | counter visits vs 2019 | SST volume vs counters | advisory sessions Jan to Aug 2025 | advisory-led branches |

- The physical channel employs **3,241 staff, over 56% of EPF's people**, across 70 branches, 6 regional offices, 14 mobile trucks and 596 self-service terminals.
- Monthly counter visits are **30% below 2019** levels. Self-service terminals carry **1.6 times the counter volume** across 21 service modules.
- **36.1K face-to-face advisory sessions** were held between January and August 2025, 115% of target.
- **64% of employers in arrears are caught in month one.** Enforcement teams operate in 35 of the 70 branches (delegation notes).
- **27 districts (1.48 million people) have no EPF presence**; Mobile KWSP and outreach teams cover them.
- **Assisted service is free and is not treated as a stopgap.** Digital literacy is a core objective, but EPF does not expect it to replace help: members who cannot or prefer not to transact alone are served in person at no cost, and Digital Ambassadors complete the transaction with them at the terminal rather than sending them away. Field visits and outreach are described as a foundation of the relationship with members and the community, not as a legacy cost to be eliminated.
- **29 of 70 branches run the new advisory-led concept**; the rest convert by 2028. Branches are moving from transaction processing to retirement advice.
- About **90% of transactions are completed digitally** (delegation notes). Rural and verification-dependent users retain in-person needs (session mind map).
- Fingerprint biometrics are used for identity verification and the biometric data is stored by EPF (delegation notes).

### Five business lines

| Line | Scope |
|---|---|
| Self-service terminals (transactional) | Routine services without queuing: member, i-Akaun, Shariah, i-Saraan and i-Sayang registration; TAC, NMCE and CIJ; statements; verification for e-withdrawal and e-nomination; voluntary contribution and sub-account transfer; age 50 full withdrawal |
| Branch counters (transactional) | Complex and exceptional cases: all registrations, all withdrawals, verification and nomination, contributions and payments, exceptional handling and an express lane |
| Relationship and advisory (value-added) | Face-to-face retirement advisory, financial literacy talks and webinars, outreach, pop-up booths and mass events, employer education; supported by the Mercury system holding member profiles, balances and contribution histories with suitable-product recommendations (session mind map) |

| Line | Scope |
|---|---|
| Mobile KWSP (value-added) | Mobile branch for low-coverage areas: registration and i-Akaun activation, withdrawal submission with biometric verification, statements, on-site advisory |
| Enforcement (compliance) | Employer registration, contribution monitoring and arrears recovery, payroll inspection, legal action under the EPF Act 1991 |

**Governance of the network:** Physical Channel headquarters sets service standards, KPIs and budgets; six regional offices manage branch performance; every branch follows the same operating manuals and service journey. Service providers are prepared for any new launch six months in advance (delegation notes).

## System integration behind the operation

The delegation's technical review records the external entities EPF is integrated with and the methods used. The pattern is one of controlled interfaces to authoritative sources rather than re-keying:

| Entity | Data exchanged | Method |
|---|---|---|
| Immigration Department | Foreign workers' identity, work permit and legal status; basis of the pre-registration of about 2 million workers | System integration and secure data exchange |
| National Registration Department (NRD/JPN) | Identity checks for citizens and permanent residents at registration; death data | System integration |
| Companies Commission (SSM) | Company registration and employer information; electronic employer registration | Verification and data exchange |
| Inland Revenue Board (IRBM) and SOCSO (PERKESO) | Tax, payroll and contribution data used for compliance | Electronic file exchange through the agencies' portals, not necessarily real time |
| Banks | Contribution payments through online banking, FPX and direct debit; withdrawal payments | Electronic payment integration |
| Employers' payroll systems | Employee, salary and contribution data prepared as electronic files (e-Payroll) | Electronic file exchange and the i-Akaun employer portal |

## Digital touchpoints for members and employers

- **Members** use i-Akaun on web and the KWSP i-Akaun app to register, set retirement goals, make voluntary contributions, apply for withdrawals, nominate beneficiaries and view statements. Digital retiree cards are available in the app (delegation notes).
- **Employers** use i-Akaun on web and the e-Caruman app to register staff, submit contributions, pay late charges or arrange instalments, and run e-Payroll.

## Employer compliance (August 2026)

| Measure | Employers | Share of registered |
|---|---|---|
| Registered | 710,229 | |
| Active | 645,217 | |
| Deregistered | 65,012 | |
| In default | 99,658 | 14.0% |
| In default 3+ months | 11,603 | 1.6% |

| Region | Registered | Active | In default |
|---|---|---|---|
| Central | 293,310 | 259,728 | 33,582 |

| Measure | | Employers | Share of registered |
|---|---|---|---|
| South | 139,607 | 127,943 | 11,664 |
| North | 125,964 | 116,158 | 9,806 |
| Sarawak | 57,013 | 53,826 | 3,187 |
| East | 49,117 | 45,606 | 3,511 |
| Sabah | 45,218 | 41,956 | 3,262 |

- **64% of employers in default are in their first month** of arrears, so problems are caught early.
- Enforcement escalates from reminders and branch contact as soon as a payment is missed (due date is the 15th of the following month), to demand notices, field visits, payroll inspections and payment arrangements, then civil recovery or prosecution under the EPF Act. Judgments, bankruptcy, director restrictions and integration with other government agencies are the final steps (session mind map).
- **Directors are jointly liable** for unpaid contributions.
- Members are credited only on contributions actually received. On enforcement, the employer pays the arrears **plus the dividend owed** on them. Oldest liability periods are settled first; partial payments are distributed by wages and arrears period.
- Regarding the compliance, **late payment charges are credited to members' accounts at every stage**, while the investment team said **penalties** are EPF non-investment income used in part for CSR. EPF's published employer guidance reconciles the two: under section 45(3) of the EPF Act the **dividend on late contributions** is credited to the member, whereas under section 49 the **late payment charge** (at the dividend rate plus 1%, minimum RM10) is paid to the Fund. The member is made whole; the charge and any fine stay with the institution and help finance community programmes (Section 20).
- Fraud controls watch for contribution spikes, unusual transaction patterns, suspicious nominations and discrepancies between payroll deductions and reported contributions; worker complaints and field inspections feed the process (session mind map).

## 16. Digital Channels and Contact Centre

The Digital Channel and Engagement session on 28 October presented the organisation, performance and roadmap of EPF's digital and contact channels. The delegation notes record a strong emphasis on change management, strategic planning, simplification of the customer journey and procedures, digital inclusion for members, employers and staff, customer centricity and artificial intelligence.

### Organisation

The Digital Channel sits in the Operations Division and comprises five units: Digital Channel Management (strategic planning, transformation, programme and change management); Digital Channel Operation (digital product owners, testing, content and channel support); Contact Management (five inbound units); Digital Support (WhatsApp Business, live chat, web query and case resolution); and Performance Enablement (shared services, performance and quality). Management and operations sit at Kwasa Damansara; contact management and digital support sit at the ELC in Bangi. Delivery follows a user-journey squad model (registration; savings and financial literacy; withdrawal; employer portal), each with a product owner, business analysts, UI/UX, test leads and back-end, mobile, web and QA squads, plus an enabler squad and L1/L3 support.

## Key statistics

| 14.27M | 645K | 6.4M | 72 |
|---|---|---|---|
| i-Akaun members | i-Akaun employers | average monthly active users | business partners on i-Akaun |

| Engagement platform | Daily average | Total | Average quality | Average waiting time | Average handling time |
|---|---|---|---|---|---|
| Calls | about 1.5K | about 302K | 97.9% | 0.51 seconds | 6.6 minutes |
| Email | about 238 | about 45K | 99.7% | | |
| Live chat | about 467 | about 89K | 98.9% | 10.6 minutes | 19.1 minutes |

## Touchpoints and the WhatsApp journey

- Touchpoints are grouped as **transaction** (i-Akaun for members, employers and business partners; the KWSP i-Akaun app; Belanjawanku), **engagement** (Contact Management Centre; WhatsApp with menu guidance, generative AI and live chat; web query) and **information** (website).
- WhatsApp KWSP Malaysia is reachable from six integrated touchpoints: the KWSP i-Akaun app, the EPF website, i-Akaun member web, i-Akaun employer web, the IVR (03 8922 6000) and WhatsApp itself.
- The member journey in WhatsApp has three layers: a **menu-guided layer** available 24/7 (trending questions and FAQs); **AI-powered replies** available 24/7 (natural language, instant, context-aware); and a **live agent** on weekdays from 8.30 am to 4.30 pm, with seamless handover from the AI for selected enquiries.
- The ELYA chatbot has been migrated to WhatsApp. The generative AI layer uses a large language model (GPT-4o mini was cited).
- The contact centre handles calls, email and live chat. A **CRM linked to all digital channels** is in place, and EPF plans to make it recognise the customer from the phone number (delegation notes).
- **eKYC** in the digital channel matches a live facial image to the identity document; low-confidence cases are escalated to a human check rather than rejected, and bank accounts are validated through the domestic payment infrastructure before payment.

## Customer satisfaction and trust

| Measure | Channel | 2023 | 2024 | 2025 |
|---|---|---|---|---|
| Customer Satisfaction Index (immediate feedback after calls and chats; governed by the Performance Management and Measurement team) | KWSP i-Akaun app and web | 95.67% | 95.27% | 97.73% |
| | Call centre | 100% | 71.66% | 93.78% |
| | Live chat | 76.40% | 81.10% | 91.00% |
| Trust Survey (external, IPSOS, yearly) | i-Akaun | 91% | 85% | 90% |
| | Contact centre | 77% | 83% | 85% |

In addition to these slide figures, the delegation was told that overall satisfaction stands at **99.8%**, and that mystery shopper scores are **98.2% in branches** and **95.2% in the call centre**. These figures were quoted from EPF's internal quality programme and are reported here as quoted to the delegation (delegation notes). Quality is monitored through KPIs, training, mystery callers and mystery shoppers, feedback, complaints and annual assessments (session mind map).

### Complaints and suggestions

Complaints about digital platforms received through calls, email or other channels are escalated to the Digital Channel Support team (Level 2), investigated by the technology team (Level 3), returned to Digital Channel with corrective actions, and closed with an update to the customer. Suggestions are logged, the relevant departments and the Transformation Unit are notified, and records are updated in the RCM system. The delegation judged the methodology close to that of Oman's Tajawob platform (delegation notes).

### Digital literacy and inclusion

- User testing activities with direct member engagement on new features.
- User guides: FAQs, YouTube videos and social media content; financial literacy articles.
- **Digital Ambassadors**: EPF officers who guide customers at counters to complete transactions digitally.
- **Digital Ascent**: Digital Channel engagement with front-liners so that branch staff understand and promote the digital journey.
- Biometric verification is available through the app (delegation notes).
- **Literacy does not replace assistance.** EPF treats digital literacy as a primary objective and, at the same time, keeps free assisted service for those who need it: staff help members complete transactions, including self-service ones, at no charge, and field visits and outreach remain part of the channel mix because they strengthen the relationship with members and bring the institution closer to the community. The two are run as complementary programmes, with Digital Ambassadors as the bridge between them.

### Roadmap and the 2030 vision

| Phase | Scope | Outcome |
|---|---|---|
| 1. Foundation | MIP 1.0, EIP 1.0, MyEPF, i-Akaun Business Partner; WhatsApp Business with GenAI, live chat, IVR and calls; financial literacy e-learning hub; CAM framework | Stable, trusted digital base |
| 2. Acceleration | MIP 2.0, EIP 2.0, payment hub, OFM ecosystem, personal financial management and a single financial 360 view, financial literacy gamification, MyDID integration | Connected omni-channel growth |
| 3. Intelligence | AI-led prediction and personalised nudges, AI conversational and chat bots, AI insight and quality analytics, cross-channel analytics, SEO/AEO/GEO, loyalty and rewards gamification | Agentic AI, proactive personalised service |
| 4. Autonomous ecosystem | Fully digital operating model, mobile-first, cloud-native automated operations | Always-on digital EPF ecosystem |

By 2030 EPF envisions KWSP i-Akaun 360 as an all-in-one ecosystem (transactions, financial insights and support), an AI-powered contact centre with hybrid human and AI agents, a customer-focused website, self-service digital platforms, an integrated financial view with real-time position, retirement planning simulations and adaptive guidance, and financial literacy built around Spend, Save, Borrow and Plan.

## 17. Branch Visit, 28 October 2026

The delegation visited an EPF service branch on the morning of 28 October. The observations below are from the delegation notes and the photographs taken on site.

| Aspect | Observation |
|---|---|
| Design | Modern, open layout built around self-service and advisory desks rather than counters. A heritage display shows a 1950s Member's Record Card with thumbprint and nomination form, connecting today's biometric verification to the fund's origins. |
| Waiting | No waiting halls. Routine transactions are diverted to self-service terminals and digital channels; appointments and the express lane handle the rest. |
| Identity verification | First-time identity verification is done in person with the identity card, fingerprint and a facial photograph; subsequent transactions can then be completed digitally. |
| Self-service | Self-service terminals are available and no paper is printed; statements and confirmations are digital. |
| Opening hours | Eight working hours a day. |
| Accessibility | No sign language service was observed at the branch visited. The session mind map records that accessibility is supported through digital channels, video calls and AI-assisted tools, which is consistent: accessibility support is provided through the digital and contact channels rather than as a resident branch service. SPF should design its own accessibility standard (Section 29). |
| Staff | Digital Ambassadors assist members at the terminals; advisory staff handle retirement conversations. |

## 18. Digital Transformation: THRIVE

The digital transformation session presented THRIVE, EPF's technology and data programme to 2030, with a strong focus on artificial intelligence and digital literacy, digital human resources, a digital investment platform, agility, scalability and resilience, and an internal enterprise service management (ESM) platform for operations (delegation notes).

| Pillar | Focus |
|---|---|
| T Future Ready Talent | Enterprise Digital Curriculum with PMD and ELC; a digital proficiency pyramid (Citizen, Contributor, Practitioner, Leader, Executive); AI Citizen Quest reaching 30% of users in 2026 and AI literacy above 60% of users in 2027 to 2028, with citizen AI developers, data builders and experts |
| H Holistic Cyber Security | Security across platforms and channels |
| R Resilient Technology Platforms | Platform roadmap below |
| I Insights and AI-Powered Organisation | Data, analytics and AI in decisions and service |
| V Sustainable Value Delivery | Benefits realisation from technology investment |
| E Service and Operations Excellence | Service levels and operational quality |

### Outcomes by 2030

- 85% of job-scope competencies achieved; digital maturity level 4.
- Zero unplanned downtime; SLA above 98%.
- 30% AI and data-driven productivity uplift; more than 80% of targeted benefits realised.
- Customer satisfaction (CSAT) above 96%.

### Platform roadmap

| Platform | Milestones |
|---|---|
| Digital HR (CENTRA) | Phase 1 completed May 2026 (operational HR, payroll, claims, leave); phase 2 September 2026 (performance, promotion, compensation, succession, learning); phase 3 December 2026 (recruitment, onboarding, analytics, engagement) |
| ERP (IFAMS) | Upgrade to S/4HANA, October 2026 |
| Enterprise data warehouse | Platform selection June 2027; implementation September 2028 |
| Investment platforms | Total portfolio management October 2027; private market system October 2027; agentic AI November 2027; portfolio view on a unified data platform December 2027 |
| Cloud contact centre with AI | Phase 1 onboarding June 2027; phase 2 AI enablement and intelligent automation March 2028 |

## 19. People, Incentives and Service Quality

The most consistent message the delegation heard across the operations, physical channel and digital channel sessions, and the one EPF managers themselves put first when asked what explains their results, was about people. When the delegation asked why satisfaction and mystery shopper scores are so high, the answer recorded in the delegation notes was direct: **the main reason is incentives and salaries**.

### The results

| Indicator | Result | Source |
|---|---|---|
| Overall customer satisfaction | 99.8% | Delegation notes |
| Mystery shopper, branches | 98.2% | Delegation notes |
| Mystery caller, call centre | 95.2% | Delegation notes |
| CSI, KWSP i-Akaun app and web (2025) | 97.73% | Digital Channel deck |
| CSI, call centre (2025) | 93.78% | Digital Channel deck |
| Trust in the contact centre, IPSOS (2025) | 85% | Digital Channel deck |
| Average quality score, calls / email / live chat | 97.9% / 99.7% / 98.9% | Digital Channel deck |
| Average waiting time, calls | 0.51 seconds | Digital Channel deck |
| Advisory sessions against target (Jan to Aug 2025) | 115% | Physical Channel deck |

### What sits behind them

EPF is a statutory body under the Ministry of Finance with its own establishment, and its managers explained that this allows an employee proposition that differs from the general civil service. Six elements were reported or observed:

- **Remuneration and benefits.** Salaries and benefits that are set apart from those of other government institutions, which allow EPF to attract and retain capable front-line and digital staff. Specific pay data was not shared and no slide covers this point; it rests on the discussion (delegation notes).
- **Incentives and rewards.** Performance-linked incentives and rewards for service staff. The digital HR platform (CENTRA) brings performance, promotion, compensation and succession into one system from September 2026, which shows how closely performance and reward are managed.

- **Flexible working arrangements**. As explained by EPF representatives during the visit, employees have flexibility in their start and finish times, as well as in the number and scheduling of working days, provided they complete the required total working hours each week.
- **Work environment.** A modern headquarters and branch environment, observed directly on 28 October: open advisory spaces, no queues, no paper, and heritage displays that give staff a sense of institutional purpose. The headquarters also includes a medical clinic, a gym and a small shopping centre as part of its workplace facilities.
- **Mental health and employee well-being**. According to the discussions during the visit, EPF places strong emphasis on employees' mental health and organises dedicated initiatives with mandatory staff attendance, reflecting the importance it gives to mental health as part of employee well-being.
- **Capability and preparation.** Structured training in theory, skills and capabilities; service providers prepared six months before any launch; Digital Ambassadors and Digital Ascent programmes; and the THRIVE talent pillar with AI literacy targets of 30% in 2026 and above 60% by 2028.

Three structural facts reinforce the point. More than 56% of EPF's people (3,241 staff) work in the physical channel, so the institution has chosen to keep its largest investment in front-line capacity even as transactions move digital. "Elevate Our People" is one of the four pillars of the corporate strategy house, and the move from a conventional to an agile workforce is one of four strategic pivots. KWAP, on Day 1, showed the same pattern in a different form: recognition, morale building, appreciation and mental health programmes that extend to its own staff and to pensioners.

> **Why this matters for SPF**
>
> EPF's service results are not produced by technology or process design alone. They rest on a workforce that is paid competitively, rewarded for performance, equipped through sustained training, and placed in a working environment that signals the value of the service it delivers. SPF's customer-centricity strategy should therefore include the employee proposition for customer-facing roles as an explicit workstream: benchmarked pay and benefits for front-line and contact centre staff, a performance-linked incentive scheme tied to the satisfaction and mystery shopper measures, recognition programmes, career paths from branch to advisory and digital roles, and investment in the physical working environment. Without this, the channel and digital investments recommended in this report will underperform.

## 20. Corporate Communications

- **Structure:** media relations; a community and social-investment unit (financial literacy, employability, flood relief, anti-scam digital literacy); marketing and ground campaigns; social media and sentiment monitoring; internal communications.
- **Community investment and its funding.** Like KWAP, EPF places strong emphasis on social responsibility, incentives and community participation. Part of this is financed from late payment charges, penalties and other income that is not planned investment return, so that community programmes do not draw on members' dividends. EPF managers linked these programmes directly to beneficiary satisfaction and trust: they keep the institution visible in communities and give members reasons to engage beyond transactions.
- **Major reforms:** seed the idea 3 to 6 months ahead and test public sentiment; brief front-liners first; use influencers and media partnerships; after launch, tailor messages to the groups that are struggling.
- **Crises:** routine issues are handled with stakeholder and influencer support. A real crisis, such as a recent cyber incident, goes to a crisis team with holding statements, front-liner scripts and a single spokesperson.
- **Foreign worker rollout:** about 2M workers were pre-registered within days using Immigration data. Operations teams visited employers with 30+ foreign workers, bringing fingerprint readers. Resistance came mainly from employers, because of the cost.

- **Working through embassies.** EPF communicates directly with the embassies of the countries whose nationals work in Malaysia (Bangladesh and Vietnam were cited). Rather than trying to reach every worker itself, it builds the knowledge of the embassy officers who deal with their communities, so that they in turn explain the scheme, the rights and the withdrawal procedures to their own nationals in their own language and through channels those workers already trust. EPF relies on this multiplier for awareness, for reaching workers after they have left Malaysia, and for handling heirs' claims (delegation notes and thematic review).
- **Field outreach** is used for registration and data correction campaigns, alongside automatic monthly savings and nomination registration campaigns (delegation notes; session mind map).
- **Incentives:** the only financial incentive is i-Saraan matching. i-Saraan membership has grown from about 17,000 in 2019 to more than 500,000 participants a year (Section 10).
- **Bilateral agreements:** none yet. South Korea has approached EPF, and any agreement would be government-led through the Ministry of Human Resources.
- **Segmented engagement** by age, sector, lifestyle and preferred channel (session mind map).

## 21. The Investment Division

| Item | Detail |
|---|---|
| Assets under management | **RM1,538 billion** (June 2026) |
| Structure | CIO's Office, Deputy CIO, **10 departments** and **1 representative office** (Kwasa Invest, London: mainly regional real estate) |
| Staff | **401**; male to female 0.9 : 1.0; executive to non-executive 6.7 : 1.0; median age 36 |
| Asset classes | 4: fixed income, public equity, private markets, money market |
| Reach | More than **40 countries** and **29 currencies** |

- Departments include public equity, external fund managers, investment strategy and analytics, private equity, real estate, a newly created private credit department, treasury and capital markets, Malaysia Investment Partnership (domestic strategic investments, private equity and infrastructure) and corporate sustainability.
- External consultants are used only for the SAA exercise; there is no standing investment consultant.

### Investment objectives

| Objective | Strategic target |
|---|---|
| Capital preservation | Nominal dividend of **at least 2.50%** each year |
| Enhancing the value of members' contributions | Real (inflation-adjusted) dividend of **at least 2.00%** on a rolling 3-year basis |
| Relative return enhancement | Annual dividend **at least 50 bps above the 3-year average 10-year MGS yield** |

*The "2.5% investment return" recorded in the delegation notes is this statutory minimum nominal dividend, not the actual return; the 2025 dividend was 6.15%.*

## 22. Strategic Asset Allocation (SAA)

### Considerations

- Asset and liability.

- Risk profile: appetite and horizon. Risk appetite is defined as the probability of the dividend falling below 2.5% and the probability of the asset-to-liability ratio falling below 95%, each kept within a threshold.
- Regulatory constraints, capital market assumptions and accounting policy.

The SAA sits within EPF's risk management framework, layered as strategic (SAA), tactical (TAA) and dynamic (DAA) allocation, supported by risk measurement, risk policies and limits, independent assessment, and risk reporting and modelling. A mid-term review of the SAA has recently been introduced and will continue.

### Evolution of the SAA

| Cycle | Fixed income | Equity | Real assets / Private markets | Money market |
|---|---|---|---|---|
| 2011 to 2013 | 55% | 37% | 5% | 3% |
| 2014 to 2016 | 51% | 36% | 10% | 3% |
| 2017 to 2019 | 51% | 36% | 10% | 3% |
| 2020 to 2024 | 45.5% | 42.5% | 9% | 3% |
| **2025 to 2027** | **43%** | **40.75%** | **13.25%** | **3%** |

*Up to 2017 to 2019, equity includes private and public equity and the fourth column is real assets. From 2020 to 2024, equity is public equity only and the fourth column is private markets (private equity, real estate and infrastructure).*

Falling yields have pushed EPF towards riskier assets to sustain returns. Diversification has also increased by mandate and strategy within the four broad asset classes.

## 23. Operationalising and Reporting the SAA

### Three recurring disciplines

- **Annual budgeting:** converts the approved SAA into investible fund allocations, income targets and dividend planning assumptions.
- **Mid-year review:** tests whether market conditions, deployment pace, income run-rate, cash balance and foreign exposure remain aligned with the SAA.
- **Rebalancing:** an ongoing process, mainly through the weekly MIC, to manage allocation drift. Because contributions arrive every month, cash is deployed quickly: the money market target is about 2 to 3%, and when cash reaches 4 to 5% the MIC reallocates it, usually to the asset class that can absorb it fastest (often public equity).

### Reporting cascade

| Frequency | Audience | Content |
|---|---|---|
| Daily | CIO and Deputy CIO | Email: actual allocation and positioning against SAA, based on preliminary positions and current prices |
| Weekly | Management Investment Committee | Dashboard: allocation against SAA, tactical tilts, deviations from SAA ranges, rebalancing actions, near-term market risks |
| Monthly / bi-monthly | Investment Panel | Dashboard: allocation performance against SAA, compliance with approved ranges and limits, recommended rebalancing and tactical decisions |
| Quarterly | Board | High-level asset class allocation and positioning against SAA; income generated against the year's target |

# 24. Current Portfolio (June 2026)

### Total fund: RM1,538 billion

| Asset class | Actual | SAA 2025 to 27 | Role |
|---|---|---|---|
| Fixed income | 44% | 43.0% | Capital preservation |
| Public equity | 44% | 40.75% | Capital enhancement |
| Private markets | 9% | 13.25% | Inflation hedge and capital enhancement |
| Private equity | 3% | 5.5% | |
| Real estate and infrastructure | 6% | 7.75% | |
| Money market | 3% | 3.0% | Capital preservation and liquidity |

- Private markets are about 4 percentage points below target; the gap is largely held in public equity.
- **39%** of assets are invested globally; the domestic market remains the anchor, mainly through fixed income.
- **17%** of assets are managed by external fund managers, so about 83% is managed internally.
- **17%** of assets belong to Simpanan Shariah.

### Simpanan Konvensional and Simpanan Shariah

Since 2024 the two are managed as separate funds, each with its own SAA, portfolio and performance.

| | Simpanan Konvensional | Simpanan Shariah |
|---|---|---|
| Assets | RM1,278 billion | RM259 billion |
| Fixed income | 44% | 43% |
| Public equity | 43% | 49% |
| Private markets | 10% (PE 4%, RE and infra 6%) | 5% (PE 2%, RE and infra 3%) |
| Money market | 3% | 3% |
| Domestic / global | 61% / 39% | 61% / 39% |

Simpanan Shariah holds more public equity because Shariah-compliant private market opportunities are limited. Expenses are split between the two funds principally in proportion to each fund's share of assets; a membership ratio was also mentioned in discussion.

# 25. Returns, Dividends and Crediting

### Annual dividends against benchmarks

| Year | Inflation | 10-yr MGS | FD rate | Dividend SK | Dividend SS |
|---|---|---|---|---|---|
| 2011 | 3.2% | 3.7% | 2.9% | 6.00% | |
| 2012 | 1.6% | 3.5% | 3.0% | 6.15% | |
| 2013 | 2.1% | 4.1% | 3.0% | 6.35% | |
| 2014 | 3.2% | 4.1% | 3.0% | 6.75% | |
| 2015 | 2.1% | 4.2% | 3.1% | 6.40% | |
| 2016 | 2.1% | 4.2% | 3.0% | 5.70% | |

| Year | Inflation | 10-yr MGS | FD rate | Dividend SK | Dividend SS |
|---|---|---|---|---|---|
| 2017 | 3.7% | 3.9% | 2.9% | 6.90% | 6.40% |
| 2018 | 1.0% | 4.1% | 3.1% | 6.15% | 5.90% |
| 2019 | 0.7% | 3.3% | 3.0% | 5.45% | 5.00% |
| 2020 | -1.1% | 2.6% | 2.0% | 5.20% | 4.90% |
| 2021 | 2.5% | 3.6% | 1.6% | 6.10% | 5.65% |
| 2022 | 3.3% | 4.1% | 2.0% | 5.35% | 4.75% |
| 2023 | 2.5% | 3.7% | 2.7% | 5.50% | 5.40% |
| 2024 | 1.8% | 3.8% | 2.7% | 6.30% | 6.30% |
| 2025 | 1.4% | 3.7% | 2.5% | 6.15% | 6.15% |

*SK = Simpanan Konvensional; SS = Simpanan Shariah (launched 2017). FD = fixed deposit.*

- EPF has outperformed inflation, the 10-year MGS yield and fixed deposit rates in every year shown. The lowest dividend (Simpanan Shariah, 4.75% in 2022) was still more than 2 percentage points above the 2.5% floor.
- The 3-year rolling real dividend was 3.12% for 2022 to 24 and 4.08% for 2023 to 25, against a 2% target.

## Compounded annual dividend rate

| Horizon | Simpanan Konvensional | Simpanan Shariah |
|---|---|---|
| 1 year (2025) | 6.15% | 6.15% |
| 5 years | 5.88% | 5.65% |
| 10 years | 5.88% | 5.60% (since 2017) |
| 15 years | 6.03% | |
| 20 years | 5.87% | |

## How the dividend is declared

- The dividend is declared on **realised income** only; unrealised gains are not distributed. About **94 to 97%** of realised income is distributed after expenses and taxes.
- The rate is rounded when declared, and the remainder is carried to a reserve for the following year. EPF is considering a more formal reserving policy to smooth distributions.
- Performance is reported quarterly; the annual dividend is announced around February or March.

## The 2.5% minimum guarantee

- There is a **statutory minimum of 2.5%** on the conventional side and **no guarantee** on the Shariah side.
- The guarantee is backed by the **government**. EPF holds no dedicated reserve for it, has never needed to call on it, and does not know whether the government sets aside a buffer.
- EPF relies on SAA design: with about 45% in fixed income, interest income alone largely covers 2.5%, and the risk appetite limits the probability of falling below it. Monthly contributions also support liquidity.

## Crediting mechanics

- **Crediting** is its own operational step: receipting, then crediting, then maintenance (dividend, reinstatement, adjustment, refund), then withdrawal. Enforcement, channel management and fraud management run alongside.

- Dividends accrue on a **modified daily balance** basis. Where money is deposited and withdrawn on the same day, the dividend is credited on the net end-of-day balance. EPF publishes the method on its dividend pages, and the link has been requested with the other materials.
- **Withdrawals before the dividend is declared:** the member receives an interim rate first (recorded as 2% in one session and 2.5% in another; the report treats it as an interim rate at or close to the statutory minimum), then a top-up once the year's dividend is declared. A change to this process is under discussion.

## 26. Liabilities and Liquidity

- EPF has no formal investment policy document of the kind SPF holds for its DB fund, and does not use mortality tables or liability projections. The SAA is asset-focused.
- EPF monitors the growing amount members can withdraw at any time and keeps enough liquidity to cover it. Operations track seasonal patterns, such as a spike before the school year.

PART D

# Analysis and Way Forward

Comparative view, takeaways, recommendations and follow-up plan.

## 27. Comparative View: KWAP, EPF and SPF

The table places the two Malaysian institutions alongside SPF on the dimensions that matter for the Savings System due to launch on 19 July 2027 and for SPF's service model. SPF entries reflect the current position and the legal framework (Social Protection Law, Royal Decree 52/2023, Articles 135 to 143) and should be refined by the responsible SPF units.

| Dimension | KWAP | EPF | SPF |
|---|---|---|---|
| Scheme type | Defined benefit pensions for pensionable civil servants; fund managed to support government pension obligations | Defined contribution; individual accounts; annual dividend | Defined benefit pension and insurance branches; defined contribution Savings System from 19 July 2027, compulsory for non-Omani workers (employer contribution of 9% of basic wage, replacing end-of-service gratuity) and optional for Omanis |
| Members | About 1.7M civil servants; about 790K pension recipients, 27% derivative | 18.7M members, 11.2M active, 647K active employers (Sep 2026) | To be completed |
| Return and guarantee | Not applicable (DB) | Dividend on realised income; statutory floor 2.5% (conventional), government-backed, no dedicated reserve; 6.15% for 2025 | Guarantee for non-Omani members self-funded; crediting methodology under design |
| Account design | Not applicable | Three accounts 75/15/10 below 55; Akaun 55 and Akaun Emas after 55; i-Emas monthly payments; structured drawdown in design | Single savings balance under design; Article 142 already allows payment as a lump sum or in annual or monthly instalments, subject to implementing rules |
| Policy function | Policy set by government; KWAP administers | Policy and Strategy Department of about 70 staff designs every programme end to end before handover to delivery units | Policy and strategy work distributed across units; to be strengthened (Recommendation 13) |
| Registration and crediting controls | Standard forms; HRMIS reconciliation; compliance visits; data review programme | Employer registration within 7 days; NRD and Immigration checks; biometrics for non-citizens; receipt separated from crediting; CTML for unmatched contributions | Employer and worker data from MoL and ROP; crediting and exception process to be specified before launch |

| Dimension | KWAP | EPF | SPF |
|---|---|---|---|
| Physical channels | Pension Services Department in Cyberjaya; appointments via app; mobile outreach programmes | 70 branches, 6 regions, 14 mobile units, more than 550 SSTs, advisory teams; 29 advisory-led branches, all by 2028; free assisted service and outreach retained | Branch network with self-service corners in every branch; field services already operating in areas without branches; to be intensified (Recommendation 5) |
| Digital channels | MyPesara app (307K+ downloads), KIAH AI chatbot (Jan 2026), SMS gateway, careline | i-Akaun web and app (14.27M users, 6.4M MAU), WhatsApp with GenAI and live agent, contact centre, e-Caruman | SPF app and portal, WhatsApp, contact centre, virtual assistant "Musaed", Tajawob complaints platform; AI enablement to be accelerated (Recommendation 6) |
| CRM and data | CRM with Tableau; PG2 core system; ETL and MFT integration with HRMIS, banks and agencies | CRM linked to all digital channels; Mercury advisory system; eKYC; phone-number recognition planned | CRM in place; Smart CRM with single customer view to be built (Recommendation 6) |
| Service measurement | Not captured; to request | CSI after every interaction, IPSOS trust survey, NPS, mystery shopper and caller, quality scores; CSAT target >96% by 2030 | Satisfaction surveys and Tajawob indicators; mystery shopper to be considered |
| People proposition | Recognition and morale programmes; CSR culture | Pay and benefits distinct from civil service; performance incentives; 56% of staff front-line; digital HR; AI literacy targets | To be reviewed (Recommendation 7) |
| Community investment | Strong CSR, carnival, recognition and mental health programmes; partner offers | Community and social investment unit; programmes financed partly from late payment charges and penalties; linked to satisfaction and trust | CSR activities exist; a structured, funded programme to be designed (Recommendation 16) |
| Expatriate outreach | Not applicable | Works through embassies to brief officers who inform their own nationals; multilingual content | Embassy liaison programme to be established before launch (Recommendation 15) |
| Employer compliance | Contributions unit of about 40 staff; compliance visits | 14% of employers in default, 1.63% beyond 3 months; 64% caught in month one; directors jointly liable; s.48(3) offence for unremitted deductions | Enforcement policy for the savings scheme to be drafted |
| Overseas payments | Periodic declaration for pensioners abroad | FTT and FDD; apply 2 months before departure; conventional transfers 1 to 2 months; Nexus instant payments in development | Overseas payment standard and fee policy to be defined (Recommendation 19) |
| Bilateral agreements | Not discussed | None; approached by South Korea; government-led | Memorandum of understanding with EPF proposed (Recommendation 14) |

# 28. Takeaways for SPF

## Provident Scheme design, crediting and investment

| Area | What EPF does | Relevance to SPF |
|---|---|---|
| Dividend basis | Declares on realised income; distributes 94 to 97%; rounding residual goes to next year's reserve | Input to the Provident Scheme crediting methodology |
| Crediting mechanics | Modified daily balance; net end-of-day; interim rate for pre-declaration exits | Directly relevant to accrual design and IT/Finance documentation |
| Minimum guarantee | 2.5% nominal floor (conventional only), backed by the government; no dedicated reserve; real-return target over a 3-year rolling window | SPF's guarantee for non-Omani members is self-funded, so a dedicated, sized reserve is needed |
| Smoothing reserve | Under consideration; not yet formalised | SPF can design a smoothing reserve from the outset |
| Risk appetite | Probability of dividend below 2.5% and of asset/liability ratio below 95% | A model for expressing risk appetite in the SPF Funding Policy and SAA |
| Decumulation | i-Emas monthly payments exist; structured drawdown and lifetime income products in design; evidence of rapid exhaustion after lump sums | Supports income-style payouts; request design details and take-up data |
| Arrears | Credit on received only; employer pays arrears plus dividend owed; directors jointly liable; early contact after a missed payment | Options for SPF's arrears and enforcement policy |
| Adequacy benchmarks | RIA framework built from a living-cost study, reviewed every 5 years | Comparable to the Minimum Income Standard work with Loughborough University |
| Account design | Retirement, life-needs and flexible accounts | Eases pressure for early withdrawals while protecting retirement savings |
| Two-fund structure | Separate conventional and Shariah SAAs; expenses split by asset share | Applicable if SPF runs separate conventional and Shariah pools |
| Liquidity | Monitors withdrawable balances and seasonal patterns | Relevant to cash-flow projections |
| Voluntary incentives | Matching for informal workers (20%, RM500 cap), gig workers and housewives; tax relief for top-ups | Design of incentives for optional Omani participation in the savings scheme |
| Policy design capacity | A 70-strong Policy and Strategy Department designs each programme end to end, including eligibility and controls, before handover | Strengthen SPF's policy and strategy function so that savings and protection initiatives arrive complete and approved |
| Registration and crediting controls | Employer registration in 7 days; identity checks against NRD and Immigration; biometrics for non-citizens; receipt separated from crediting; CTML and e-CTML for unmatched money; employees confirm salaries in the app | Specification for SPF registration, crediting and exception handling before July 2027 |
| Death and overseas claims | Staged no-nomination payments; versioned nomination history; discretionary Death Assistance kept separate; FTT/FDD with documented payee verification | Savings death-claim and overseas-payment standards for SPF, distinct from survivor pensions |

## Customer service, channels and people

| Area | What EPF and KWAP do | Relevance to SPF |
|---|---|---|
| Channel architecture | Five business lines: SSTs for routine work, counters for exceptions, advisory, mobile units, enforcement; one operating manual for all branches | Blueprint for SPF branches and service centres; separate routine from advisory work |
| Advisory-led branches | 29 of 70 branches converted, all by 2028; 36.1K advisory sessions in eight months | Shift SPF branch staff from transactions to retirement and savings advice |
| Self-service and paperless | SSTs carry 1.6x counter volume; no printing; biometric first-time verification then digital | Target for SPF self-service kiosks and e-verification |
| Coverage of remote areas | 14 mobile units and 70 outreach teams for 27 districts without branches | Mobile and outreach model for governorates without SPF presence |
| WhatsApp with AI | Menu, GenAI replies 24/7, live agent in office hours, reachable from six touchpoints | Direct input to SPF smart contact centre design |
| Measurement | CSI after each interaction; IPSOS trust survey; NPS; mystery shopper and caller; quality scoring | Adopt a layered measurement model and publish targets |
| Complaints | L2/L3 escalation with corrective actions and customer update; suggestions logged in RCM | Confirms the Tajawob approach; add corrective-action loop to digital teams |
| Digital inclusion | Digital Ambassadors at counters; Digital Ascent for front-liners; user guides and videos | Programme to move SPF customers to digital channels without excluding them |
| Assisted service and field presence | Digital literacy pursued without withdrawing free in-person help; staff complete transactions with members; field visits treated as a foundation of the relationship | Keep free assisted service and intensify field visits alongside the digital push |
| Embassy partnerships | EPF briefs embassy officers who then inform their nationals in their own language | Embassy liaison programme for the expatriate communities covered by the Savings System |
| Community investment | KWAP and EPF fund CSR, incentives and community participation partly from penalties and unplanned income; strong effect on satisfaction | A structured community programme with a defined funding source, subject to legal review |
| System integration | EPF: Immigration, NRD, SSM, IRBM, SOCSO, banks and payroll systems; KWAP: HRMIS, banks and agencies through ETL and MFT | Integration architecture and data-sharing agreements for the Savings System |
| Launch readiness | Front-liners briefed first; service providers prepared six months before launch; sentiment tested 3 to 6 months ahead | Readiness plan for the July 2027 savings scheme launch |
| People proposition | Competitive pay and benefits, performance incentives, modern environment, sustained training; cited by EPF as the main reason for its service results | Make the front-line employee proposition a workstream of the customer-centricity strategy |
| Pensioner engagement (KWAP) | Annual festival and awards, partner offers, mental health and community programmes, app-based appointments | Pensioner engagement programme for SPF retirees and survivors |
| Data integration (KWAP) | Integration strategy with ministries; roundtables with state offices | Data-sharing agreements for the savings scheme and pension accuracy |

## 29. Recommendations

The recommendations are grouped by horizon. Owners are indicative and should be confirmed by SPF management.

| No. | Recommendation | Owner | Priority | Timeline |
|---|---|---|---|---|
| 1 | Size and fund a dedicated reserve for the self-funded guarantee on non-Omani members' savings, and define risk appetite as probabilities of breaching the floor and the asset/liability ratio, following the EPF model. | Investment; Actuarial; Risk | High | Q1 to Q2 2027 |
| 2 | Design the account structure with a locked retirement component and limited flexible components, and specify an income-style payout option (monthly payments) at launch rather than lump sum only. | Savings Scheme team; Legal | High | Q1 2027 |
| 3 | Draft the savings scheme arrears and enforcement policy on the EPF pattern: credit on receipt only, employer liability for arrears plus the return owed to the member, a separate late payment charge retained by the Fund, early contact in month one, and an escalation ladder with director liability and a specific offence for unremitted deductions. | Entitlements; Legal; Customer Services | High | Q2 2027 |
| 4 | Build on what SPF branches already have. Every branch operates a self-service corner and field services already reach areas without branches; the recommendation is to reinforce and intensify this model rather than start anew: expand the self-service corners with more terminals and more service modules so that they carry the routine volume, redeploy counter time to retirement and savings advice on the EPF advisory-led concept, raise the frequency and reach of field services with scheduled visits and mobile units, give field teams the same transaction capability as branches (registration, biometric verification, submissions), and bring branches, self-service corners and field services under one operating manual and service journey. | Customer Services | High | Plan Q1 2027; intensify from Q2 2027 |
| 5 | Accelerate the use of artificial intelligence across SPF channels. SPF already runs WhatsApp, a CRM and the virtual assistant "Musaed"; the next step is to empower Musaed with generative AI, natural-language answers 24/7 and seamless handover to a live agent, as EPF has done with ELYA on WhatsApp; build a Smart CRM that recognises the customer from the phone number and gives agents and branches a single customer view across all channels; designate Digital Ambassadors in every branch and field team to complete transactions with customers; and produce digital literacy content (guides, videos, social media) in the languages of the covered communities. | Customer Services; IT and Digital | High | Design Q1 2027; live with scheme launch |

| No. | Recommendation | Owner | Priority | Timeline |
|---|---|---|---|---|
| 6 | Establish a front-line employee proposition workstream within the customer-centricity strategy: benchmark pay and benefits for customer-facing and contact centre roles against comparable Omani institutions, introduce a performance-linked incentive scheme tied to satisfaction and mystery shopper results, recognition programmes, career paths into advisory and digital roles, and investment in the branch working environment. | Human Resources; Customer Services; Executive management | High | Proposal Q1 2027; approval before launch |
| 7 | Adopt a layered service measurement model: CSI after every interaction, an annual external trust survey, NPS, mystery shopper and mystery caller, and published targets (EPF targets CSAT above 96% by 2030). | Customer Services; Strategy | Medium | Q2 2027 |
| 8 | Prepare a launch readiness plan for the savings scheme on the EPF pattern: front-liners briefed first, service providers trained six months ahead, sentiment tested 3 to 6 months ahead, influencer and employer engagement, embassy briefings for expatriate communities. | Communications; Customer Services | High | From January 2027 |
| 9 | Design a pensioner engagement programme drawing on KWAP: partner offers, an annual event, recognition, mental health and retirement preparedness content, and app-based appointment triage. | Customer Services; Communications | Medium | 2027 |
| 10 | Formalise data-sharing agreements with ministries, immigration and employers for registration, exit verification and duplicate-account control, following the KWAP integration strategy and EPF's use of immigration data. | IT and Digital; Legal | Medium | Q2 2027 |
| 11 | Align SPF's digital transformation roadmap with explicit staff capability targets (AI and digital literacy coverage), as in THRIVE, and include a cloud contact centre with AI in the plan. | IT and Digital; Human Resources | Medium | 2027 to 2028 |
| 12 | Strengthen the policy and strategy function at SPF on the EPF model: give one administrative unit the mandate to design the philosophy of every savings and protection programme or initiative from inception to approval, including eligibility conditions, parameters and controls, and to hand a complete approved policy to the delivery units; resource it with research, actuarial, legal and behavioural capacity; and apply the model first to the Savings System products due in July 2027. | Executive management; Strategy; Human Resources | High | Decision Q1 2027 |
| 13 | Study and propose a memorandum of understanding with EPF covering areas of benefit to both institutions, including on-the-job training and short attachments of SPF staff in EPF operations, digital channel, policy and investment units; reciprocal attendance at conferences, forums and events organised by either institution; technical exchange on crediting, decumulation products, the advisory branch concept and AI in service; exchange of experience on the coverage of foreign workers and the handling of claims after departure; joint research and data cooperation on adequacy and savings behaviour; and periodic management visits. A parallel letter of cooperation with KWAP on pensioner and derivative recipient services is also proposed. | Head of delegation; Executive management; Legal | High | Draft Q1 2027 |

| No. | Recommendation | Owner | Priority | Timeline |
|---|---|---|---|---|
| 14 | Establish an embassy liaison programme before the Savings System launch: identify the embassies of the main expatriate communities in Oman, brief their labour and consular officers on registration, contributions, entitlements and withdrawal on departure, provide them with multilingual material and a named SPF contact, and use them as the channel for reaching workers after they leave Oman and for heirs' claims, as EPF does. | Communications; Customer Services; International Cooperation | High | From Q1 2027 |
| 15 | Design a structured community investment and social responsibility programme, drawing on KWAP and EPF: financial literacy, retirement preparedness, recognition of pensioners, community events and support in emergencies, with a defined funding source that draws on late payment charges, penalties and other unplanned income rather than members' returns, subject to legal and financial review, and with satisfaction and trust indicators to measure its effect. | Communications; Finance; Legal | Medium | Proposal Q2 2027 |
| 16 | Adopt an explicit service principle that digital literacy complements and never replaces free assisted service: customers who cannot or prefer not to transact alone are helped in person at no cost, including help to complete self-service transactions; and treat field visits as a core activity that strengthens the relationship with beneficiaries and brings SPF closer to the community, with targets for visit frequency and coverage. | Customer Services | High | Policy Q1 2027 |
| 17 | Specify the registration, crediting and exception controls of the Savings System before launch on the EPF pattern: employer registration within a short statutory period, identity checks against ROP and Ministry of Labour data, biometric capture for non-Omani workers, no linkage between work permit issue and savings registration, separation of receipt from crediting, an unmatched-contribution process with employer self-correction and preparer/approver roles, and periodic confirmation of salaries by workers in the app. | Savings Scheme team; IT and Digital; Entitlements | High | Q1 to Q2 2027 |
| 18 | Define the savings death-claim and overseas-payment standards: staged payments where there is no nomination, a versioned nomination history, clear separation from survivor pensions, documented payee verification for international transfers, a published fee and exchange-rate disclosure policy, a two-month pre-departure application window, and a secure workflow for changing bank details after departure. | Entitlements; Finance; Legal | High | Q2 2027 |
| 19 | Introduce a spouse contribution option on the EPF i-Sayang model: allow a married member to redirect part of his own contribution (EPF uses 2% of the husband's employee share) to his wife's savings account, which she owns outright and he cannot reclaim. This builds retirement savings for wives with little or no paid work and recognises unpaid care work. Define eligibility, the share that can be redirected and how it interacts with the guarantee and withdrawal rules, subject to legal review. | Savings Scheme team; Legal; Actuarial | Medium | Design 2027 |

**Final recommendation**

SPF should size and fund a dedicated reserve for its self-funded guarantee and set the account, arrears, registration and claims rules of the Savings System on the EPF pattern (Recommendations 2 to 4 and 18 to 19), intensify its existing self-service, field and digital channels with artificial intelligence at the centre (Recommendations 5, 6, 8 and 17), approve the front-line employee proposition workstream (Recommendation 7), strengthen the policy and strategy function so that every programme is designed end to end before delivery (Recommendation 13), and open a memorandum of understanding with EPF to sustain the exchange (Recommendation 14), all before the launch on 19 July 2027. The people element remains the condition for the rest to deliver: EPF's own explanation of its service results places people, pay, incentives and work environment ahead of systems, and SPF should plan on the same basis.

## Annex. Glossary of Terms and Abbreviations

| Term | Meaning |
|---|---|
| ACE-YT | EPF scorecard: Adequacy, Coverage, Experience, Yield, Trust |
| Akaun Persaraan / Sejahtera / Fleksibel | EPF retirement, life-needs and flexible accounts (75/15/10) for members below 55 |
| Akaun 55 / Akaun Emas | Combined account at 55; account for contributions after 55, accessible at 60 |
| AWT / AHT | Average waiting time / average handling time |
| Belanjawanku | Malaysian expenditure guide used to set the RIA adequate level |
| BWE / STR | Social assistance for poor elderly / cash assistance for B40 households |
| CENTRA | EPF digital human resources platform |
| CSI / CSAT / NPS | Customer Satisfaction Index / customer satisfaction score / Net Promoter Score |
| Derivative recipient | Survivor receiving a pension derived from a deceased pensioner (KWAP) |
| e-Caruman | EPF employer contribution app |
| ELYA | EPF chatbot, now migrated to WhatsApp |
| i-Akaun | EPF online account for members and employers |
| i-Emas | Monthly payment option for EPF members at 55 or 60 |
| i-Legasi | Transfer of savings above RM650K to spouse or children by members aged 55+ |
| i-Saraan / i-Saraan Plus / i-Suri / i-Sayang / i-Simpan / i-Topup | EPF voluntary contribution products |
| KIAH | KWAP Is Always Here, the KWAP AI chatbot |
| KWAP | Kumpulan Wang Persaraan (Diperbadankan), Retirement Fund (Incorporated) |
| KWSP | Kumpulan Wang Simpanan Pekerja, the Malay name of EPF |
| MAU | Monthly active users |
| MGS | Malaysian Government Securities |
| MIC | Management Investment Committee |
| MyPesara | KWAP pensioner mobile app (pesara means pensioner) |
| PERKESO / SOCSO | Social Security Organisation covering employment injury, invalidity, survivors and unemployment |
| RIA | Retirement Income Adequacy framework (basic RM390K, adequate RM650K, enhanced RM1.3M) |
| SAA / TAA / DAA | Strategic, tactical and dynamic asset allocation |
| Simpanan Konvensional / Simpanan Shariah | EPF conventional and Shariah savings funds |
| SST | Self-service terminal |
| Tajawob | Oman government complaints and suggestions platform |
| THRIVE | EPF digital transformation programme: Talent, Holistic cyber security, Resilient platforms, Insights and AI, Value delivery, Excellence |

## Annex. Host Contacts

Contact details of the hosts the delegation met at KWAP and EPF, as printed on the business cards collected during the visit.

| Name | Position and department | Institution | Telephone | Email |
|---|---|---|---|---|
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*M = mobile; T = office; F = fax. EPF address for all EPF contacts: Menara KWSP, No. 1, Persiaran Kwasa Utama, Kwasa Damansara, Seksyen U4, 40150 Shah Alam, Selangor (www.kwsp.gov.my). KWAP addresses are not printed on the cards.*